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FOUNDER TIP

Choosing a business structure in Australia

Sole trader, partnership, company or trust

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1

Sole trader

One person starts and runs the business. It is inexpensive and simple to set up.

- You are personally liable for all business debts
- Profit is taxed at your personal marginal rate
- GST registration is required once turnover reaches $75,000

2

Partnership

Two or more people share decisions, income and losses.

- Partners carry joint liability for business debts
- Each partner is personally responsible
- Ownership can't transfer unless all partners agree

3

Company

A separate legal entity owned by shareholders.

- Shareholders typically lose only the value of their shares
- The company tax rate is lower than the top individual rate
- Directors need a director ID, and it costs more to set up and run

4

Trust

A trustee runs the business for the beneficiaries.

- Beneficiaries are generally not liable for trust debts
- Beneficiaries pay tax at their own marginal rates
- Profit kept in the trust can attract penalty tax rates

5

Get advice before you register

Your structure decides what you are liable for, how your profit is taxed and how easily you can add partners later. Trusts in particular need professional advice to set up.

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Save this before you register

Share it with a founder choosing a structure.